development. However, these incentives end up making manufacturing costlier and non-competitive in the country.

The tax instruments are too complicated and blunt to achieve the objectives stated for their introduction.

Therefore, first, most if not all personal deductions should be abolished from the income tax laws. At best, if the government intends to encourage savings over consumption, it could provide one single incentive for long-term savings, irrespective of whether it is small savings, bank deposits, government bonds or corporate bonds. Second, the government should switch over to expenditure-side support to industry by formulating appropriate incentive schemes like PLI.

Fundamental Reforms of Income Taxation

As noted above, essentially, there are three fundamental sources of income —income from labour, profits from businesses and incomes which assets yield. The income taxation law should be built around identifying these three classes of incomes, assessing the same and taxing it. A major foundational reform would be to treat income coming in the hands of individuals/households only as taxable income. The undistributed income of corporate entities raise the capital value and should therefore be considered as part of wealth taxation. Income received in any corporate structure meant for holding income of any individual(s) can and should be taxed as that individual’s income.

To sum it up, three income classes would be:

First, income by use of labour—use of physical and mental skills and abilities in any of the myriad ways in which these are employed to earn income. Labour incomes can be received in different forms: salary, wages, bonuses, pensions, superannuation contributions, employee stock options (ESOPs), and the like. Irrespective of the form in which labour income is received, it remains income and should be taxed as such.